

Commerce Questions WAEC candidates/private

Question 1

Compare a Partnership and a Public limited company as business units under the following headings

- (a) formation.
- (b) ownership.
- (c) raising of capital.
- (d) liability.
- (e) transfer of shares

Question 2

Write short notes on the following types of retail outlets.

- (a) supermarket.
- (b) mobile shops.
- (c) department stores.
- (d) chain stores.
- (e) hawking.

Question 3

Explain the following insurance terms:

- (a) proximate cause
- (b) contribution
- (c) utmost good faith
- (d) re-insurance.

- (e) contract of non-indemnity (compensation)

Question 4

List and explain four documents involved in the formation of a Public Limited Company

Question 5

- (a) Explain the following:
 - (I) counter trade.
 - (II) entreport trade.
 - (III) import trade.
 - (IV) invisible trade
- (b) State four barriers to International trade.

Question 6

- (a) What is transportation?
- (b) Explain dead freight
- (c) List and explain five factors that will determine a seller's mode of transportation.

Question 7

- (a) What is hire purchase?
- (b) Give two advantages and two disadvantages of each of hire purchase to:
 - (I) the buyer
 - (II) seller

Question 8

- (a) Explain four functions of the Stock Exchange

- (b) Explain four ways by which the Central Bank regulates the activities of Commercial banks.

Question 9

- (a) State five factors that can affect the rate of turnover of a company
- (b) What is Working Capital?
- (c) Explain four importance of working Capital

Question 10

- (a) Write the following abbreviations in full:
- (I) C.O. D. = Cash on delivery
- (II) C. I. F. = Cost Insurance and Freight
- (III) F. O. B. = Free on board
- (IV) E and O. E. = Error and Omissions Excepted
- (b) The sale of a consumer good costing N=100,000 attracts a cash discount of 5% and a quantity discount of 5%. You are required to calculate:
- (I) quantity discount value
- (II) cash discount value
- (III) net amount of money payable by the customer.

Question 11

Compare a Partnership and a Public limited company as business units under the following headings

- (a) formation.
- (b) ownership.

- (c) raising of capital.
- (d) liability.
- (e) transfer of shares

Question 12

Write short notes on the following types of retail outlets.

- (a) supermarket.
- (b) mobile shops.
- (c) department stores.
- (d) chain stores.
- (e) hawking.

Question 13

Explain the following insurance terms:

- (a) proximate cause
- (b) contribution
- (c) utmost good faith
- (d) re-insurance.
- (e) contract of non-indemnity (compensation)

Question 14

List and explain four documents involved in the formation of a Public Limited Company

Question 15

- (a) Explain the following:
 - (I) counter trade.

- (II) entreport trade.
- (III) import trade.
- (IV) invisible trade
- (b) State four burners to International trade.

Question 16

- (a) What is transportation?
- (b) Explain dead freight
- (c) List and explain five factors that will determine a seller's mode of transportation.

Question 17

- (a) What is hire purchase?
- (b) Give two advantages and two disadvantages of each of hire purchase to:
 - (I) the buyer
 - (II) seller

Question 18

- (a) Explain four functions of the Stock Exchange
- (b) Explain four ways by which the Central Bank regulates the activities of Commercial banks.

Question 19

- (a) State five factors that can affect the rate of turnover of a company
- (b) What is Working Capital?
- (c) Explain four importance of working Capital

Question 20

(a) Write the following abbreviations in full:

- (I) C.O. D. = Cash on delivery
- (II) C. I. F. = Cost Insurance and Freight
- (III) F. O. B. = Free on board

(IV) E and O. E. = Error and Omissions Excepted

(b) The sale of a consumer good costing N=100,000 attracts a cash discount of 5% and a quantity discount of 5%. You are required to calculate:

- (I) quantity discount value
- (II) cash discount value
- (III) net amount of money payable by the customer.

Question 21

Compare a Partnership and a Public limited company as business units under the following headings

- (a) formation.
- (b) ownership.
- (c) raising of capital.
- (d) liability.
- (e) transfer of shares

Question 22

Write short notes on the following types of retail outlets.

- (a) supermarket.
- (b) mobile shops.
- (c) department stores.
- (d) chain stores.
- (e) hawking.

Question 23

Explain the following insurance terms:

- (a) proximate cause
- (b) contribution
- (c) utmost good faith
- (d) re-insurance.
- (e) contract of non-indemnity (compensation)

Question 24

List and explain four documents involved in the formation of a Public Limited Company

Question 25

- (a) Explain the following:
 - (I) counter trade.
 - (II) entreport trade.
 - (III) import trade.
 - (IV) invisible trade
- (b) State four barriers to International trade.

Question 26

- (a) What is transportation?

- (b) Explain dead freight
- (c) List and explain five factors that will determine a seller's mode of transportation.

Question 27

- (a) What is hire purchase?
- (b) Give two advantages and two disadvantages of each of hire purchase to:
 - (I) the buyer
 - (II) seller

Question 28

- (a) Explain four functions of the Stock Exchange
- (b) Explain four ways by which the Central Bank regulates the activities of Commercial banks.

Question 29

- (a) State five factors that can affect the rate of turnover of a company
- (b) What is Working Capital?
- (c) Explain four importance of working Capital

Question 30

- (a) Write the following abbreviations in full:
 - (I) C.O. D. = Cash on delivery
 - (II) C. I. F. = Cost Insurance and Freight

(III) F. O. B. = Free on board

(IV) E and O. E. = Error and Omissions Excepted

(b) The sale of a consumer good costing N=100,000 attracts a cash discount of 5% and a quantity discount of 5%. You are required to calculate:

(I) quantity discount value

(II) cash discount value

(III) net amount of money payable by the customer.

Question 31

(a) Explain industrial occupation. □ Give three examples

(b) State three uses of capital as a factor of production

Question 32

(a) State five features of partnership business

(b) Explain five reasons why government participate in business

Question 33

State any four advantages of a public limited company

Explain the following:

- Ordinary Shares

- Cumulative preference Shares

- Debenture

Question 34

List four means of payment in business
Explain the following:

Quotation

Hire purchase

Deferred payment

Quantity discount.

Question 35

State two advantages of Courier Services
List and explain six Communication Services rendered by the post office.

Question 36
Explain the following

Insurance Underwriter
promoter
Auctioneer
factor
Broker

Question 37

Outline six function of advertising
Explain seven factors to be considered in choosing an advertising medium.

Question 38

State four differences between a loan and an overdraft
Explain six factors to be considered by a Bank manager before granting a loan.

Question 39

Give five reasons for protection of consumers
State five measures taken to protect consumers

Question 40

The Question required the candidate to calculate the following

Total fixed assets,
Total current assets
Total current liabilities
The working capital
The capital employed.

Question 41

This Question was on the completion of chart showing main divisions of commerce
Explain the following, give one example of each:
Primary production.
Secondary production.
Tertiary production.

Question 42

Explain the following:
Limited liability.
Separate legal entity.
Certificate of incorporation.
Participating preference shares.
Ordinary shares.

State five advantages of Public Corporation

Question 43

What is channel of distribution?

With the aid of diagrams show four examples of channels of distribution.

Explain five advantages of home trade.

Question 44

What is credit?

List and explain six principles of insurance.

Question 45

Explain five factors affecting the choice of transport of frozen products.

State five disadvantages of air transport.

Question 46

Define the term market segmentation.

List six factors that influence market segmentation.

State five advantages of advertising.

observation

Question 47

What is a contract?

List five elements of a valid contract.

Explain four ways by which a contract may be discharged

Question 48

Explain the following documents used in international trade:

Indent.

Bill of lading.

Consular invoice.

Certificate of origin.

Bill of exchange.

Question 49

Differentiate between Nationalization and indigenization.
State six reasons why a country would indigenize some industries.

Question 50

This Question was on the calculation of the following:
Issued capital.
Unissued capital.
Total assets.
Working capital.

Question 51

Distinguish between Commerce and Industry
(i) Explain three activities involved in Industry
(ii) Explain five activities involved in Commerce

Question 52

State five features of a public corporation.

List and explain five sources of capital available to a limited liability company.

Question 53

What is Mail Order Business?
List and explain six trends in retailing

Question 54

Write explanatory notes on the following stock exchange terms:

Bull.
Bear.
Option.
Backwardation.

Cartago.

Question 55

Explain the following Insurance terms:

proximate cause.
surrender value.
contribution.
utmost good faith.
premium.

Question 56

State five importance of personal selling to a business.
Explain five reasons why communication is important to a business.

Question 57

State two distinguishing features between each of the following:

Tramp vessels and ocean liners.
A factor and a broker.
A commissioned agent and a del credere agent.
Consular invoice and proforma invoice.
Insurance and Assurance.

Question 58

Explain the meaning of market segmentation.
List and explain four factors to be considered in segmenting a market.

Question 59

Define the following terms:

Nationalization.

Indigenization.

Commercialization.

Privatization.

State four reasons why government should participate in business.

Question 60

The Question was on the calculation of:

(a) Turn-over.

(b) Cost of goods sold.

(c) Gross profit.

(d) Net profit.

(e) Rate of Stock turn-over.

Question 61

Compare a public limited company with partnership under the following headings:

Formation.

Ownership and control.

Source of capital.

Liability.

Dissolution.

Question 62

Define a multiple shop.

State three features of a multiple shop.

Explain three advantages and three disadvantages of a multiple shop.

Question 63

State five problems of barter trading system.

Explain five ways in which the introduction of money has solved the problems stated in 3(a).

Question 64

Explain each of the following insurance concepts:

Non indemnity insurance.

Group insurance.

Re-insurance.

Under insurance.

Consequential loss insurance.

Question 65

Explain the following Insurance terms:

What is packaging?.

State three disadvantages of packaging.

State five reasons for the packaging of products by manufacturers.

Question 66

Define a contract of sale.

Outline six items that must be contained in a contract of sale.

Question 67

What is a stock exchange market?

Explain six functions of the stock exchange market

Question 68

Explain current assets giving two examples.

State two uses of working capital.

Question 8(c) required the candidates to calculate

current liabilities.

current assets.

working capital.

Question 69

Explain five ways in which commerce is important in the life of a nation.

Question 70

What is a vending machine?

State six reasons why supermarkets are popular with shoppers.

Question 71

Outline five functions of commercial banks.

List and explain five ways the Central Bank controls the commercial banks.

Question 72

State five reasons for the presence of the customs and excise authority at seaports.

Explain five functions of airport authority.

Question 73

Explain five reasons for which manufacturers advertise their products.

State five reasons for the continued criticism of advertising.

Question 74

What is contract?

List and explain four ways by which a contract can be discharged.

Question 75

State five reasons for governments participation in business.

Explain five problems encountered by government businesses.

Question 76

(i) COD.

(ii) CIF.

(iii) FOB.

(iv) E. and O. E.

The sale of consumer goods costing N100,000 attracts a cash discount

of 7½% and a quantity discount of 5%.

Question 77

Explain five ways in which commerce is important in the life of a nation.

Question 78

List four features of a self service shop?

State four disadvantages of self service shop.

State four importance of working capital to a business

Question 79

State four functions of a wholesaler to a retailer.

Explain five advantages of small scale retail business over a large scale business.

Question 80

Explain each of the following classes of insurance:

Marine insurance.

Accident insurance.

Group insurance.

Fidelity guarantee insurance.

Consequential loss insurance.

Question 81

Explain four functions rendered by a courier firm.

Explain six functions rendered by a Telecommunication firm.

Question 82

List five media of public relations.
Enumerate five types of after sales service.
State five benefits of after sales service.

Question 83

Distinguish between a broker and a factor.
State three duties of an employer to an employee.
State four duties of an employee to an employer.

Question 84

What is turnover in commerce?
List and explain six factors that determine the turnover of a product.

Question 85

What is E-commerce?
State four advantages and four disadvantages of privatization.

Question 86

Define communication.
List six means of communication in business.
In what four ways is communication important to a business?

Question 87

Explain the following retail outlets:

department store.
mobile shop.
chain store.
mail order business.
supermarket.

Question 88

State five merits of co-operative societies.

Explain five procedures to be followed in the formation of a private limited liability company.

Question 89

State four features of a warehouse.

Explain six reasons why warehousing is important to a business.

Question 90

Define advertising.

Explain four demerits of advertising.

Explain five different ways producers can create awareness for their goods and services.

Question 91

Explain the following business terms:

standard orders.
bank draft.
legal tender.
money order.
I.O.U.

Question 92

Write the following commercial abbreviations in full:

C.O.D..
C.I.F..
F.O.B..
E&O.E.

The sale of a good costing Le100,000 attracts a trade discount of 5% and a cash discount of 5%.

You are required to calculate the:

trade discount.

cash discount.
net amount payable by the buyer

Question 93

List four career opportunities available to a student of commerce.
State two functions of an entrepreneur.
Explain the following activities giving two examples each.

extractive industry.
construction industry .
manufacturing industry
tertiary industry.

Question 94

The staff of Kander Manufacturing Company limited formed a cooperative society to enable them have access to funds.

Name the type of cooperative society they formed.
State four features of the cooperative society.
State three advantage and two disadvantage of the cooperative society.

Question 95

State five reasons that would make a bank dishonour a customer's cheque.
State five reasons countries introduce restrictions in foreign trade.

Question 96

State three benefits of a commodity exchange.
Explain two methods of trading in a commodity exchange.
State four requirements for trading in a commodity exchange.

Question 97

List six advertising media used in business.
What is personal selling
State four advantages and two disadvantages of personal selling.

Question 98

Country X is facing a situation where its total payments to other countries are greater than its total earnings from abroad.

State the term that relates to the above situation.

Explain six measures the country could take to correct the situation.

Question 99

State four services rendered by courier companies.

State three advantages and three disadvantages of rail transport.

Question 100

The following information was extracted from the books of Jinka Enterprises as at 31st August 2015.

15 cartons of sweets at 2,000 per carton.

25 cartons of milk at 4,000 per carton.

15 cartons of sugar at 3,000 per carton.

17 cartons of soap at 5,000 per carton.

The following payments were made:

Rent and rates 3,500

Salaries and wages 8,000

Fuel 2,000

Electricity 1,500

A cash discount of 6% and a 10% trade discount was allowed if payment was made within 7 days.

Calculate how much cash was paid for the goods bought if payment was made within 7 days.

If all the goods were sold at a markup of 20%, determine the selling price.

Calculate the value of the net profit.

Question 101

A sole proprietor has been advised to advertise her business in order to increase sales.

List four advertising media she could use. State four factors she would consider in the choice of a medium.

State four advantages of advertising to her business.

Question 102

State four functions of a cartel.

Explain three advantages and three disadvantages of public enterprises.

Question 103

List six credit instruments used in business transactions..

Mr. Sylva is considering hire purchase as a source of finance for his business operations. State four advantages and three disadvantages of this source of finance.

Question 104

Explain four factors to be considered in setting up a retail business.

State how government uses the following to regulate business:

(i) registration of business name.

(ii) patent.

(iii) trade mark.

(iv) copyright.

Question 105

State four function of a Stock Exchange.

Explain the following types of securities traded on the Stock Exchange:

(i) debenture.

(ii) bonds.

(iii) shares.

(iv) stock.

Question 106

State five function of an Export Promotion Council.

Outline five role performed by the Customs and Excise Authority towards

Question 107

Emeka has been a sales representative for three years but has never met his target.

State five reasons that could have accounted for his inability to meet his target.

Explain five promotional tools he could use to stimulate sales of his company's products.

Question 108

The following information relates to Raisa's grocery store as at 31st December 2018.

Le

Stock 1st January 2018 20,000

Purchases 150,000

Sales 230,000

Carriage inwards 4,000

Rent received 80,000

Salaries 29,000

Stock 31st December 35,000

You are required to calculate:

cost of goods sold.

gross profit.

net profit.

percentage of gross profit.

Question 109

Differentiate between a merger and an acquisition.

Explain five ways commerce is important in the life of a nation.

Question 110

Differentiate between the following terms:

Interest and profit.

Share and debenture.

Ordinary share and preference share.

Cumulative preference share and participating preference share.

Cum div and ex div.

Question 111

State four functions of money.

Explain how the following operators function on a stock exchange:

Bull.

Jobber.

Broker.

Stag.

Question 112

List five means of payment in home trade.

Explain to a seller of motor vehicles, five ways a computer could be useful in his business.

Question 113

What is entrepot trade?

(i) Differentiate between a bill of lading and a consignment note.

(ii) Explain the use of a bill of sight in foreign trade.

(c) State five reasons for the criticism against advertising.

Question 114

Madam Fana. The human resource manager of Baku limited is due to start her annual leave. She wishes to assign one of her assistants to perform her duties in her absence.

Identify and explain the organizational principle on which Madam Fana has based her decision.
State four duties of Madam Fana in Baku limited.
Explain the following management terms:

Planning.
Organizing.
Directing.
Controlling.

Question 115

What is an economic grouping?
State three objectives of each of the following organizations:

Lake Chad Basin Commission.
ECOWAS.
Niger Basin Commission.

Question 116

Explain the following types of capital:

(i) Authorized capital.

(ii) Liquid capital.

(b) The following records were extracted from the books of Bandin and Bachur Partnership as at March 31st, 2020.

D

Equipment	150,000
Cash at bank	25,000
Creditors	120,000
Debtors	150,000
Stock as at 1/03/20	30,000

Motor van	300,000
Fixtures and fittings	40,000
Overdraft	45,000
Stock as at 31/03/20	25,000

Calculate:

Fixed assets.
Current liabilities.
Current assets.
Working capital.
Average stock.

Question 117

In a carpentry workshop of three employees, one is responsible for cutting the wood, another for fixing and a third for polishing and praying the furniture.

Identify the term that described the production process the workshop uses.

- (i) State five advantages of the production process identified in 1 (a). to the workshop.
- (ii) State four disadvantages of the production process identified in 1 (a). to the workshop.

Question 2

ABC Limited, a textile company and XYZ Limited, a cotton processing company agreed to merge.

- (a) Identify and explain the type of merger to be formed by the companies.
- (b) State four reasons that would have necessitated the formation of the merger.
- (c) List and explain three sources of finance available to the company formed.

Question 118

Differentiate between a trade association and a chamber of commerce.

State four functions of a chamber of commerce.

State four functions of an employers association.

Question 119

Diagrams of various computer devices were provided labeled A-I.

Name any eight of the computer devices labeled A-I.

State one use of any six input devices named in 4(a).

Question 120

(a) List four sources of credit available to a sole trader.

(b) Explain the following credit instruments:

(i) acceptance credit.

(ii) luncheon voucher.

(iii) bill of exchange.

(c) State two advantages and three disadvantages of hire purchase to seller.

Question 121

(a) Explain three means of payment in international trade and two means of payment in home trade.

(b) Explain five reasons countries engage in international trade.

Question 122

The marketing manager of a shoe factory was in a senior management meeting to convince the board to accept his proposal of using television to advertise the company's products.

State four benefits the company would derive from using television to advertise its products. List and explain four other promotional means the company could adopt.

Question 123

The data below relates to J.K. Limited as at December 31, 2021.
D

Inventory- 1st January 2021	80,000.00
Inventory- 31st December 2021	60,000.00
Purchases	180,000.00
Operating expenses	40,000.00
Discount received	20,000.00
Other current assets	150,000.00
Current liabilities	100,000.00

Calculate:

Gross profit.

Net profit.
Gross profit margin.
Net profit margin.
Working capital.
Rate of inventory turnover.

Question 124

Explain five factors that delayed the growth of commerce in West Africa.
Using appropriate headings, classify the following workers:

- (i) oil driller.
- (ii) potter.
- (iii) policeman.
- (iv) brewer.
- (v) stock broker.
- (vi) mason.
- (vii) farmer.

Question 125

Victor and Samba have been partners for two years. They have had disagreements throughout the period and Sambo requested for dissolution of the partnership so that he could start a sole proprietorship.

- (a) State five problems Sambo could face as a sole trader.
- (b) State five benefits Samba could enjoy if he remained in the partnership.

Question 126

State four functions of warehousing.

State two features of each of the following retail outlets:

- (i) chain store.
- (ii) mobile shop.
- (iii) mail order business.

Question 127

As an employee of the stock exchange market, explain to a group of investors, five securities they could trade in.

State five duties of an agent to his principal.

Question 128

- (a) Differentiate between indent and quotation.
- (b) State four functions of each of the following organizations:
 - (i) export promotion council.
 - (ii) customs and exercise authority.

Question 129

- (a) What is tourism?
- (b) State one negative effect of tourism on the following:

- (i) economy.
- (ii) society.
- (iii) environment.

(c) State two positive effects of tourism on each of the following:

- (i) economy.
- (ii) society.
- (iii) environment.

Question 130

State two differences between marketing and selling.

List four main elements of marketing mix.

Country Z has decided to leave the Economic Community of West African States (ECOWAS).

As the adviser on regional group, explain four benefits the country could derive from remaining in the group.

Question 132

The following information was extracted from the books of Lompat Ventures as at December 31, 2022.

Stock as at 01/01/22	37,500
Stock as at 31/12/22	15,000
Goods bought	30,000
Sales	70,000
Wages and salaries	2,500
Rent and rates	3,500
Transportation	2,600

Debtors	100,000
Creditors	50,000
Bank overdraft	60,000
Cash at bank	25,000

Calculate:

net profit.
working capital.
rate of stock turnover.